

POCONO AI, LLC

BUSINESS ASSOCIATE AGREEMENT

Enterprise Autonomy Architecture (EAA) | Zero-Exfiltration Deployment

Structured pursuant to 45 CFR §§ 164.504(e), 164.314(a); HIPAA (Pub. L. 104-191); HITECH Act (Pub. L. 111-5); 2024 HIPAA Privacy Rule Updates
Version 3.0 — May 2026 | DRAFT — Subject to Review by Qualified Healthcare Counsel

1. PARTIES

COVERED ENTITY ("CE")

Legal Name: _____
Principal Address: _____
HIPAA Privacy Officer: _____
Email / Phone: _____

BUSINESS ASSOCIATE ("BA") Pocono AI, LLC – Pennsylvania LLC

Principal Office: East Stroudsburg, Monroe County, Pennsylvania
Chief Technologist: Marcus O'Dell
Contact: marcus@poconoai.com | (570) 534-0602 | poconoai.com

RECITALS

WHEREAS, CE is a Covered Entity as defined under HIPAA and HITECH, and implementing regulations at 45 CFR Parts 160 and 164, as amended through 2024;
WHEREAS, Pocono AI, LLC provides on-premises, air-gapped AI infrastructure ("Services") under a separate Services Agreement;
WHEREAS, under the Enterprise Autonomy Architecture ("EAA") model, all Protected Health Information ("PHI") remains exclusively on hardware in CE's physical custody, and BA maintains zero remote, network, or cloud access to such PHI;
NOW, THEREFORE, the parties agree as follows:

2. DEFINITIONS

2.1 Enterprise Autonomy Architecture (EAA). A hardware-enforced data custody model under which the Sentinel Node AI infrastructure physically resides entirely within CE's facility and LAN. CE retains absolute physical, network, and cryptographic custody of all PHI at all times. BA has no remote access.

2.2 Sentinel Node. The dedicated, on-premises AI hardware appliance described in the Services Agreement, installed within CE's facility and operating exclusively on CE's isolated local network with zero outbound internet telemetry during inference operations. Hardware is purchased and owned by CE.

2.3 Incidental Access. Authorized, on-site access by BA personnel, conducted (a) in the physical presence of a designated CE representative; (b) limited to minimum necessary; and (c) documented in a written service log retained by CE.

3. OBLIGATIONS OF BUSINESS ASSOCIATE

3.1 Permitted Uses. BA shall use or disclose PHI solely to perform on-site installation, configuration, and maintenance of the Sentinel Node; as Required by Law (45 CFR §164.103); or for proper management and administration consistent with 45 CFR §164.504(e)(4).

3.2 Prohibited Uses. BA shall NOT access, transmit, store, process, or copy PHI via any remote, cloud, internet-connected, or wireless system; use PHI for marketing, model training, or research without express written authorization; or permit any subcontractor remote access.

3.3 Safeguards. BA shall implement administrative, physical, and technical safeguards that reasonably and appropriately protect the confidentiality, integrity, and availability of PHI, consistent with the Security Rule, limited to on-site activities.

3.4 Reporting. Security Incidents: written notice to CE Privacy Officer within five (5) business days of discovery. Breach of Unsecured PHI: written notice within sixty (60) calendar days, including all elements required by 45 CFR §164.410(c).

3.5 Immutable Audit Log. The Sentinel Node maintains a local, tamper-evident audit log of all semantic queries, retrieved data chunks, and generated outputs. Log is stored exclusively on CE hardware. BA has zero remote access. Retention minimum ninety (90) days, queryable solely by authorized CE personnel.

4. OBLIGATIONS OF COVERED ENTITY

CE shall: (a) notify BA of limitations in its Notice of Privacy Practices; (b) obtain required authorizations; (c) maintain 100% physical and legal custody of Sentinel Node hardware; (d) maintain physical security of hardware within CE facility; (e) designate workforce members authorized for incidental access supervision.

5. TERM AND TERMINATION

Effective on date of last signature and continues coterminous with Services Agreement. Either party may terminate for material breach upon thirty (30) days written notice if uncured. Upon termination, BA shall return or securely destroy all PHI in its possession and certify destruction in writing within ten (10) business days, except where retention is Required by Law.

6. INDEMNIFICATION; LIMITATION OF LIABILITY

BA shall indemnify CE from claims arising from BA material breach, negligent acts in connection with Services, or Security Incidents caused by BA failure to maintain required safeguards. CE shall indemnify BA from claims arising from CE failure to maintain physical security of Sentinel Node or use inconsistent with BA written instructions. NEITHER PARTY SHALL BE LIABLE FOR INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES, EXCEPT FOR WILLFUL MISCONDUCT, GROSS NEGLIGENCE, OR BREACH OF CONFIDENTIALITY OBLIGATIONS.

7. EAA ZERO-EXFILTRATION WARRANTY

BA warrants that under EAA deployment:

- Sentinel Node is installed exclusively within CE's physical facility
- All PHI processing — vectorization, retrieval, inference, logging — occurs entirely on Sentinel Node within CE facility
- Zero outbound internet connections during normal inference operations
- Software updates delivered exclusively via cryptographically signed, SHA-256 verified USB media — no automatic network updates
- BA maintains zero remote, cloud, or internet-based access to CE PHI
- BA shall provide CE IT team with network packet capture scripts and firewall documentation to independently verify zero-exfiltration at any time

8. GOVERNING LAW

This Agreement shall be governed by the laws of the Commonwealth of Pennsylvania, without regard to conflicts of law. Venue shall lie in Monroe County Court of Common Pleas or the United States District Court for the Middle District of Pennsylvania. Parties shall amend as necessary to comply with changes in HIPAA/HITECH. In conflict between this Agreement and applicable law, applicable law controls.

9. SIGNATURES

COVERED ENTITY

Legal Entity Name:

Authorized Signatory:

Title:

Date:

BUSINESS ASSOCIATE — POCONO AI, LLC

Marcus O'Dell, Founder & Chief Technologist:

Date:

DRAFT — CONFIDENTIAL — FOR ATTORNEY REVIEW PRIOR TO EXECUTION

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